

Party System Institutionalization and Economic Voting: Evidence from India

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It is well established that a country's institutional features can weaken economic voting because voters find it hard to attribute performance to specific parties. We argue that local-level party system institutionalization similarly moderates the link between the economy and vote choice. We focus on one manifestation of party system institutionalization: the strength of party-candidate linkages in elections, operationalized by manually tracing the rerunning patterns of some 80,000 candidates in Indian state elections between 1986 and 2007. Using rerunning patterns to measure party-candidate linkages and rainfall data to measure the state of the economy, we show that voters were more likely to reward incumbent parties for economic performance when parties and candidates were aligned in consecutive elections. We address concerns of endogeneity in rerunning patterns, by showing that the results are robust to alternate measures of local-level party system institutionalization. They are also robust to alternative measures of the state of the economy and to using individual-level survey data.

An extensive literature in advanced industrial countries has emphasized the role of economic evaluation as a key factor in shaping how voters reward or punish incumbents (Anderson 2007; Key and Cummings 1966; Kramer 1983; Lewis-Beck 1990; Tufté 1980). Studies of economic voting in developing countries provide more contradictory evidence for the phenomenon (Domínguez and McCann 1998; Pacek and Radcliff 1995; Ravishankar 2009; Remmer 1991; Tucker 2002). This is surprising, given that the stakes of a weak economy are likely greater in a developing context with greater numbers of poor voters.

To explain discrepancies in studies of economic voting, research has focused on structural and institutional factors that moderate the relationship between the state of the economy and the vote (Anderson 2000; Duch 2001; Duch and Stevenson 2008; Kayser 2014; Powell and Whitten 1993; Whitten and Palmer 1999).¹ The key insight in these studies is that economic voting relies on clarity about who is to be held responsible for performance in office. For instance, when institutional features

diffuse responsibility for policy outcomes, the incumbents are more likely to be insulated from both positive and negative economic voting because voters have a hard time correctly attributing responsibility for government performance. Institutional features such as proportional representation, coalition governments, or weak intraparty cohesion in the legislature can therefore weaken economic voting.

An important, but understudied, factor that enables voters to hold incumbents accountable and gain information about the political environment is *party system institutionalization*. Following Chhibber and Kollman (2009, 4), we define a party system as an enduring pattern of electoral competition between parties for public office. Party systems are formed on the basis of candidates' and voters' incentives to coordinate around common party labels. Where party systems are institutionalized, we observe stable patterns of party competition, strong party-voter linkages, clear ideological positions, and well-organized (or institutionalized) individual parties (see Mainwaring 1999; Mainwaring and Scully 1995).

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Replication files are available in the *JOP* Dataverse (<https://dataverse.harvard.edu/dataverse/jop>). The empirical analysis has been successfully replicated by the *JOP* replication analyst. An online appendix with supplementary material is available at <https://doi.org/10.1086/716297>.

1. A number of studies also focus on individual-level variation in economic voting. For instance, voters tend to evaluate the economy in a way that is consistent with their prior political beliefs. See Anderson (2007) for an excellent review of these studies.

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We focus on an important manifestation of party system institutionalization that is key to how voters assess a party's performance: the strength of *party-candidate linkages*, operationalized as the extent to which parties and candidates maintain their electoral alliances from one election to the next.² Where party-candidate linkages are weak, parties often do not field the same candidates from one election to the next, and candidates who are not renominated may rerun under a different party label. The strength of party-candidate linkages, then, has important implications for vote choice: weak party-candidate linkages mean that party brands provide little heuristic value to help voters evaluate performance. Voters may also be unsure about whether to reward or punish the party or the candidate for the economy. As a result, weak linkages should result in weaker patterns of economic voting.

The idea that stable party-candidate linkages are an important dimension of a well-functioning party system is fairly intuitive. Yet, as noted by McElroy (2003, 2), this phenomenon "has received surprisingly little attention in the canon of political parties." This omission is not so surprising given that studies of parties and elections typically focus on Northern Europe and the United States, regions where candidates usually run for reelection, and generally for the same party.³ However, research from a wide range of countries—including Brazil, Ecuador, Mexico, Russia, Poland, France, Italy, and Canada—shows that weak party-candidate linkages are, in fact, a relatively common phenomenon in both developing and developed democracies (Desposato 2006; Grose and Yoshinaka 2003; Heller and Mershon 2005; Herron 2002; Kerevel 2014; Kreuzer and Pettai 2003; O'Brien and Shomer 2013; Pereira and Renno 2003; Shabad and Slomczynski 2004; Snagovsky and Kerby 2018; Zielinski, Slomczynski, and Shabad 2005).

We examine party-candidate linkages and economic voting in the world's largest democracy—India. Elections in the Indian states are viewed as unusually chaotic with high anti-incumbency voting, many political parties competing, and little evidence of economic voting (Linden 2004; Ravishankar 2009; Suri 2009; Uppal 2009; Verma 2012). This is a good context to study economic voting because it is a large and diverse developing country where it is possible to access high-quality data at a disaggregated level. It is also considered a particularly hard case, as voters are generally thought to cast their votes on the basis of ethnic loyalties and patronage networks, rather than

policy promises or actual performance in office (Chandra 2004; Piliavsky 2014).⁴

To measure party-candidate linkages, we draw on the database of electoral returns in state assembly elections developed by Jensenius (2017), which includes data on 3,700 constituencies (electoral districts) across 23 Indian states. We manually track the rerunning patterns of the top five candidates in each of these constituencies across consecutive elections held from 1986 to 2007. Our resultant data set includes information on approximately 80,000 candidates, who were coded as rerunning or not and as rerunning under the same party label or under a different one.

Using multilevel regression models, we examine the relationship between rerunning patterns and economic voting. We use several measures to capture the state of the economy. First, using district-level rainfall data as a proxy for the local-level state of the economy, we show that places where incumbent parties fielded the incumbent politician exhibited clear patterns of economic voting, while places where candidates did not rerun or where candidates switched parties did not. We then show that these results hold when we use data on nighttime light and change in public sector employment as alternate measures of the state of the economy. Finally, to alleviate ecological fallacy concerns, we turn to individual-level survey data from the Indian National Election Study (NES) conducted in the aftermath of the 2004 parliamentary elections. In the survey analysis, we augment our measure of rainfall deviation as a proxy for the economy with respondents' views on their personal economy and their views on the national economy. Across all three measures, we show that in constituencies where the incumbent ran for the same party, respondents were more likely to vote for the incumbent party if the economy was (or was perceived as) doing well.

Much of the previous literature on candidate switching has focused on candidates opportunistically changing parties to improve their electoral fortunes (Desposato 2006; Heller and Mershon 2005; Kerevel 2014; Thames 2007). In a similar vein, it is possible that opportunistic candidates seek new parties in order to avoid individual accountability for the economy or that parties strategically seek to avoid being sanctioned for a weak economy by retiring an incumbent politician. It is also possible that parties are less constrained by candidates when the economy is doing well or that candidates seek out new parties when they have more confidence they can carry an election in a good economic year. All these scenarios raise concerns about endogeneity in the patterns we observe.

2. There are other manifestations of party-candidate linkages, including floor crossing during legislative sessions and expressed ideological or emotional ties between parties and candidates.

3. Party switching has been uncommon in the United States in recent times, with only 20 members of Congress changing parties between 1947 and 1994 (Nokken and Poole 2004).

4. Discussions about how true this is are ongoing in the Indian politics literature. See, e.g., Bussell (2019) and Chhibber and Verma (2018).

We use three alternative measures of the strength of local-level party system institutionalization to address these endogeneity concerns: a weighted average of electoral party switching among the top five candidates in the constituency in the same election, a weighted average of electoral party switching among the top five candidates in the constituency in the previous election, and a qualitatively coded measure of the internal organization of the incumbent party based on a data set developed by Chhibber, Jensenius, and Suryanarayan (2014). These measures are highly correlated with our main measure of party-candidate linkages but are less prone to the endogeneity concerns related to incumbent parties or politicians changing alliances in response to short-term economic factors. Our findings remain robust to these alternative measures of the strength of local party system institutionalization. We also probe the relationship between our main measure of the state of the economy, lagged rainfall deviation, and rerunning patterns and find that bad rainfall does not predict incumbents switching parties. Our qualitatively coded measure of the internal organization of parties, however, is a strong predictor of an incumbent's likelihood of switching.

Our article's most significant contribution is providing microlevel evidence of how party system institutionalization may affect voting behavior, in particular economic voting, in the developing world. There are few studies of economic voting in the developing world, and many of them are based on highly aggregated data. By showing how party system institutionalization moderates economic voting, we contribute one explanation for why we see less economic voting in less developed democracies. This can help to reconcile some of the seemingly contradictory findings in the literature on economic voting.⁵ Our measure also improves on other measures of institutionalization such as electoral volatility, effective number of parties, or party system age that are either postelectoral measures or obscure local-level variation.

We also contribute to discussions about voting patterns in India. Much of the literature on vote choice in India has focused on ethnic cleavages, electoral mobilization, clientelism, and the structural features of the states' political economy (see, e.g., Chhibber and Kollman 2009; Nooruddin and Chhibber 2008; Sridharan 2004; Yadav 2000). Our results indicate that weak party-candidate linkages have a large effect on vote choice, including economic voting, and have important implications for our conventional understanding of voting behavior. Our findings indicate that where party systems are institutional-

ized, with stable party-candidate linkages, electoral dynamics in India resemble those in advanced industrial democracies.

Finally, we contribute a large original data set on the rerunning patterns of about 80,000 political candidates across 96 state elections held in India between 1986 and 2007. These data are the result of a massive coding effort, where rerunning patterns were manually coded by two separate coders to ensure a high degree of data reliability. We hold that our manual coding is superior to efforts to trace candidates using name-recognition software, because names of the same politicians often appear differently from one election to the next, and different candidates often have similar names. We therefore believe these data will be a valuable contribution to the rapidly growing field of Indian politics.

PARTY SYSTEM INSTITUTIONALIZATION AND ECONOMIC VOTING

A well-established literature on economic voting has argued that political institutions can moderate the relationship between the economy and an individual's vote choice. A key insight advanced by Powell and Whitten (1993) was that, if voters are unsure about who to hold responsible for the state of the economy, the link between the economy and vote choice can break. Studies have demonstrated weaker evidence of economic voting in contexts with complicated coalition arrangements, greater ideological variation within parties, opposition control of committees or policy-making institutions, multilevel governance, and other governmental and institutional characteristics (Anderson 2000, 2006; Bengtsson 2004; Duch and Stevenson 2008; Fisher and Hobolt 2010; Nadeau et al. 2002; Paldam 1991; Whitten and Palmer 1999).

We focus on an important factor aiding voters' ability to evaluate and attribute performance in office—the local-level institutionalization of party systems. As we noted above, strongly institutionalized party systems are characterized by stable patterns of party competition, strong party-voter linkages, clear ideological positions, and well-organized (or institutionalized) individual parties (see Mainwaring 1999; Mainwaring and Scully 1995). A weakly institutionalized party system makes attribution harder in several ways: the disappearance and appearance of party labels may confuse voters, the ideological incoherence of party platforms may make it harder to understand the economic effects of government policy, and weakly organized parties may fail to communicate their achievements in office to voters.

Weak party-candidate linkages are an especially detrimental manifestation of a weakly institutionalized party system with regard to voter attribution for economic performance. When party-candidate linkages are weak, incumbent candidates are often eliminated from the choice set, or worse

5. Studies in both developed and less developed contexts show that the extent of economic voting varies significantly across countries, within countries, and across groups (Anderson 1995; Bengtsson 2004; Lowry, Alt, and Ferree 1998; Nadeau, Niemi, and Yoshinaka 2002; Powell and Whitten 1993).

still, the incumbent party and politician switch alliances and run against each other. This likely results in voters getting numerous and conflicting messages about who is responsible for past events, making it challenging to translate information about the economy into political choices—including economic voting. The patterns of economic voting are likely to be the weakest (or even reversed) when the incumbent politician reruns under a different party label but should also be weakened when the incumbent politician does not rerun at all. Operationalizing party-candidate linkages as the local-level rerunning patterns of incumbent politicians therefore allows us to study the moderating effect of party system institutionalization on the economic vote.

A key concern about our argument is that the direction of causality might run in the opposite direction: parties and candidates may switch parties in response to bad economic conditions. Studies of floor crossing in parliament have found politicians to be more likely to switch to another party if doing so increases their chance of gaining attractive cabinet portfolios or committee memberships to further their policy interests or if they think it will help them win future elections (Kerevel 2014; Müller et al. 1999; Radean 2019; Thames 2007). Focusing on party switching from the ruling party to the opposition party in Polish national elections, Zielinski et al. (2005) find that incumbents were more likely to switch parties when unemployment had increased in their district during their term in office.

We hold that parties and candidates are able to behave instrumentally *because* of the weakness of parties in weakly institutionalized party systems. While the strategic incentives to switch parties might arise in all party systems, the presence of well-organized parties greatly increase the transaction costs of switching electoral alliances for both parties and candidates. Well-organized parties are characterized by routinized intraparty procedures, including standardized rules for candidate nominations and leadership selection, and clear career development paths within the party (Huntington 1968; Janda and King 1985; Panebianco 1988). In such parties, intraparty rules or norms for career advancement mean that candidates cannot easily exit one party and enter another one, as doing so would require starting at the bottom of a new party career hierarchy (Chhibber et al. 2014). Exiting candidates who switch parties will also have to invest in informing the public about their new policy stances and in developing an independent brand from the party. Party leaders, on their side, are likely to face resistance among loyal party workers if they attempt to retire incumbent candidates in response to short-term considerations or to give seat nominations to politicians from other parties.

This discussion suggests that, controlling for the institutionalization of parties, we are unlikely to observe an effect of eco-

nomic or career incentives on switching. Studies of advanced industrial democracies—where evidence of economic voting is relatively robust—show that the phenomenon of candidates and parties switching alliances is relatively rare and that those that do suffer electorally in the next election (Grose and Yoshinaka 2003; Snagovsky and Kerby 2018).

Where parties are weakly organized, a different picture emerges. Weakly organized parties prioritize candidate self-financing and personalistic vote banks and care less about party branding, policy congruence, or formal intraparty rules for candidate advancement (Samuels 2006; Siavelis and Morgenstern 2008). Candidates, too, invest in developing personal connections with local groups and institutions, emphasize their personal character and achievements, and minimize the party's performance, platform, and ideology (Fox 2018). Consequently, candidates in such an environment are more likely to exit parties, enter new parties, or float new party labels in order to pursue their career aspirations.

So what factors shape the local-level institutionalization of party systems and consequently electoral switching? We contend that party-candidate linkages are primarily shaped by slow-moving structural and institutional conditions. We have discussed one such factor above—the internal organization of parties. But beyond organization, the depth of parties' roots in society, their ideological legitimacy, and social cleavages such as class and ethnicity are also likely to shape linkages (see Mainwaring 1999). In a paper on what explains candidate switching in the Indian states, we show that the strength of historical ethnic cleavages and the internal organizational capacity of parties rather than fluctuations in the economy predict electoral switching (Jensenius and Suryanarayan 2019).⁶ Later in the paper we show that even where parties are weak, the measures of the economy that we use do not predict electoral switching in our data.

We make three assumptions that shape how we think about the relationship between party-candidate linkages and the economic vote. First, following previous studies we assume that voters infer parties' competence by observing economic conditions and that they will tend to vote retrospectively for the incumbent party or politicians when the economy is doing well and seek to select other leaders when the economy is doing badly (cf. Fiorina 1978).⁷ Second, we assume that economic voting can occur even when the government is not directly responsible for past economic events (see Achen and Bartels 2004; Healy, Malhotra, and Mo 2010; Leigh 2009; Wolfers

6. See app. D (apps. A–D are available online) for more details.

7. This requires relatively little political sophistication. In fact, as discussed by Kayser (2014), it is the low-information voters—who tend to be the least partisan—who are the most likely to vote economically.

2002). Third, we assume that voters hold both parties and candidates responsible for the economy, a phenomenon that is more likely in candidate-centric electoral systems such as first-past-the-post electoral systems.⁸ However, changes in party-switching laws even in proportional systems such as Brazil have been shown to change the electoral performance of parties (Novaes 2018).

PARTY-CANDIDATE LINKAGES AND ECONOMIC VOTING IN INDIA

We study party system institutionalization and party-candidate linkages in Indian state elections. Indian elections at both the state and national level follow first-past-the-post electoral rules and are held every five years. In the postindependence period, the Indian party system transformed from being dominated by one party—the “Congress System” (Kothari 1964)—into multiparty coalition politics at the national level. While the Bharatiya Janata Party has emerged as a dominant force in parliamentary elections more recently, politics in many states remain fragmented, with a large and often-changing number of parties dominating different parts of the country.

State-level political parties in India are by and large weakly institutionalized—with low intraparty democracy and dynastic or personalistic leaders—and are often reliant on weak and fluid social bases. Focusing on the 15 largest states and elections between 1967 and 2004, Chhibber et al. (2014) find that parties often do not provide clarity to politicians about their role in the organization—such as qualifications and procedures for candidate selection, promotions, and succession planning.

Weak party system institutionalization in India’s state assemblies and parliament has historically manifested itself as factional splits of parties and “defections” (or floor crossing; Kashyap 1970). Party defections grew more numerous as the Congress Party gradually lost power and politicians sought opportunities in other parties. Rampant floor crossing resulted in the passing of the Anti-defection Act in 1985, which disqualified elected members of parliament or state assemblies who defected to other parties during their time in office.⁹ While the act reduced the occurrence of legislative floor crossing, it did not prevent other manifestations of weak party-candidate

linkages, such as low rerunning rates and candidates rerunning for a different party. To our knowledge, this article is the first to document these occurrences systematically.

Candidate nomination in India is generally dominated by the party leadership (Sircar 2018). Party elites often select and drop candidates on the basis of their background characteristics such as their wealth (which indicates their ability to finance campaigns), their criminal background (a sign of their greater organizational capacity), and their education level (a sign of their capacity to do the job; see Vaishnav 2017). Verniers (2020) notes that politicians who switch are not simply opportunists or political novices but are instead seasoned politicians who are responding to the incentives set by weak and disorganized political parties. Additionally, candidates who are unable to keep up with the exorbitant costs of staying in politics often exit on their own. Parties too discard incumbent candidates because of alliance and seat-sharing agreements or to rebalance local caste equations. Verniers (2019) notes that party leaders, most notably Narendra Modi during his terms as chief minister of Gujarat, use renomination as a way to maintain control, sideline undesirable party members, and deal with factionalism. This approach to talent selection translates into high levels of churn in candidates from election to election as well as frequent poaching of candidates by parties. Examining the 2009 national elections, Sircar (2018) finds that only 53% of incumbent politicians ran for reelection, and only 41% ran for the same party. These characteristics of Indian political parties and their candidate selection processes provide a good setting for testing our arguments about the effects of weak party-candidate linkages on vote choice because the factors that shape candidate selection are fairly exogenous to local voter dynamics.

Parties’ inattention to local dynamics and the high churn in candidates fielded from one year to the next likely make it more difficult for voters in many parts of India to evaluate the incumbent party for its economic performance while in office. Unsurprisingly, previous research provides weak evidence of economic voting in Indian elections. Drawing on state-level data on economic growth, Ravishankar (2009) finds limited overall evidence of an effect of economic performance on support for the incumbent party.¹⁰ Analyzing individual-level data from the NES, Suri (2009) and Verma (2012) report a positive association between voters’ perception of the economy and their propensity to vote for parties in the ruling coalition. But it is unclear to what extent these patterns are driven by partisan bias, that is, the extent to which voters say they are satisfied

8. It is possible that party-candidate linkage is a less effective measure of local-level party system institutionalization in contexts where parties wield more power through closed-list party nominations or multimember districts.

9. This was implemented as the 52nd Amendment to the Indian Constitution. There have, in fact, been several disqualifications as a result of this act (see https://prsindia.org/files/parliament/discussion_papers/1370583077_Anti-Defection%20Law.pdf). However, the act has a loophole: it is deemed a party split (and not a defection) if more than one-third of the members leave an existing party.

10. Interestingly, she reports a reverse pattern in “honeymoon” elections, where a state election follows a national election or vice versa because in such elections voters have an incentive to put the same party into power at both levels. This incentive decreases as parties stay in power longer.

with the economy when the party or person they voted for is in power. In the next section we examine the relationship between the state of the economy and vote choice at the state assembly constituency (AC) level, focusing on the role of party-candidate linkages in moderating this relationship.

DATA AND KEY VARIABLES

Our main data set of electoral returns covers 96 state assembly elections held in 23 Indian states between 1986 and 2007.¹¹ There are several advantages to restricting our analysis to the years 1986–2007. First, in this period, the boundaries of electoral constituencies remained unchanged across most of India, allowing us to trace candidate rerunning patterns in the same constituencies over time.¹² Second, we avoid the years from the mid-1970s until the mid-1980s when many of the party changes were simply the result of splits and mergers of the Congress Party.¹³ Finally, the antidefection law, which prevented politicians from voting against their party in state and national legislatures, was passed in 1985. Using data from the period after this law was passed means that the changes in party-candidate alliances occurred right before elections rather than during a legislative term.

Across the elections included in our data, an average of 10.7 candidates contested in each electoral constituency. However, most votes were cast for a few candidates, resulting in an average effective number of candidates of about three at the constituency level. We manually coded the rerunning patterns of the top five candidates in each constituency in our data. This manual coding covered the rerunning patterns of 79,486 candidates.¹⁴ Using this manual coding we identified whether the candidates had run for election in the same constituency in the previous election and, if so, whether they were running under the same party label.¹⁵ See appendix A for further information about our coding choices, a list of states and elections included in the data, and summary statistics for key variables.

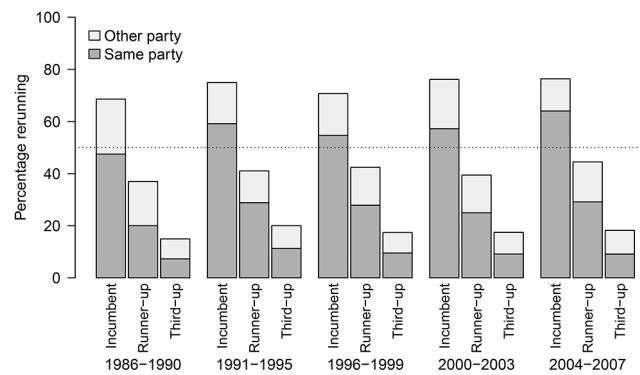


Figure 1. Rerunning patterns for politicians in Indian state elections, 1986–2007.

In order to test our claim that economic voting is likely to be more pronounced in contexts with more stable party-candidate linkages, we first focus on the rerunning patterns of incumbent politicians in power in each state AC in our data. Our main explanatory variable is a categorical variable—Incumbent Ran for the Same Party, Incumbent Did Not Rerun, or Incumbent Switched Party. We focus on the rerunning patterns of incumbents rather than all candidates in a constituency for two reasons. First, because economic voting to a large extent is about punishing or rewarding those in power, the most confusing scenario for voters should be one in which the incumbent candidate and party run against each other. Additionally, as we have argued above, the rerunning patterns of incumbent politicians depend both on the organizational capacity of the incumbent party and on that of other parties in the system. Therefore, rerunning patterns for incumbents should be considered a measure of the institutionalization of the entire party system, not just the incumbent party.

Figure 1 shows the rerunning patterns of the top three politicians in each constituency. The first bar in each set of years illustrates our main explanatory variable—the running patterns of incumbent politicians. In 56% of the electoral races included in the data set, the incumbent politician reran under the same party label; in 17% of the races the incumbent politician switched to a different party label; in the remaining 27% of races the incumbent politician did not run for reelection.¹⁶ Figure 1 shows that the share of incumbent politicians running for reelection was fairly stable across the years, with a slight increase in candidates rerunning for the same party over time. However, it was not always the same constituencies that

11. This is a subset of the data set developed by Jensenius (2017).

12. During these years, the electoral constituencies changed only in Jammu and Kashmir (1995) and Uttarakhand (2001) (Jensenius 2017, 21). These states are therefore excluded from our data set.

13. It was not clear whether voters perceived Congress factions such as the Congress (I) as “the same” or “a different” party.

14. We focused on the top five because candidates further down the list received few votes. In the median constituency, the top five candidates received 99% of all the votes (meaning that we are excluding candidates who received about 1% of the votes).

15. In the cases in which candidates were found to rerun for the same or a different party, we are certain about their rerunning status. When candidates from the previous election were not found among the top five candidates, they may either have not run for election again or have run for election and fared very poorly.

16. The incumbent party ended up with a position lower than 5 in about 1% of the cases in our data. In our coding, incumbent politicians rerunning for the same party in these instances would appear as not rerunning since they do not reappear among the top five candidates. Our findings are robust to excluding these observations.

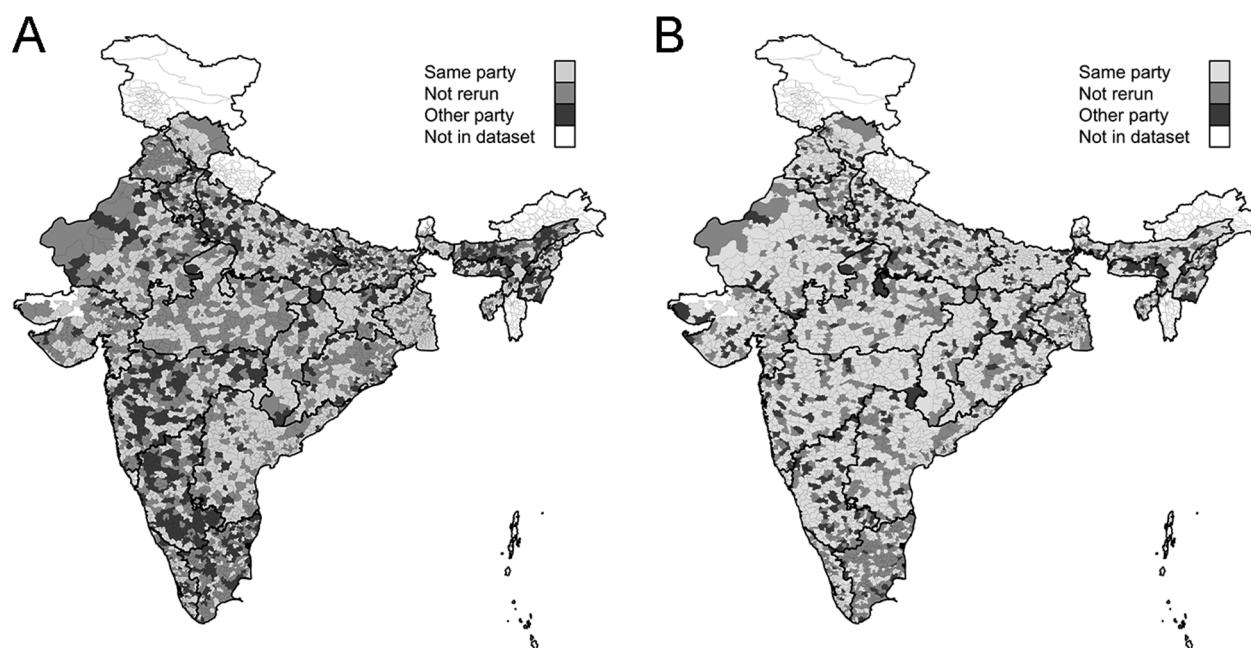


Figure 2. Rerunning patterns for incumbent politicians in Indian state elections in the first (A) and last (B) elections included in our data

experienced stable party-candidate linkages. Around half of the constituencies included in our data had an incumbent politician running under a different party label at least once between 1986 and 2007.

Figure 1 also includes information about the rerunning patterns of the incumbents' main electoral opponents in the previous election. We use these data, and data on the fourth up and fifth up, to create our alternative measure of local-level party institutionalization, Electoral Switching. An average of 26% of runners-up reran for the same party, and another 15%, for other parties. Most of the runners-up did not rerun. Of third-placed candidates, only about 9% reran for the same party and another 8% for another party. For the fourth and fifth candidates, few were found to have rerun in the same constituency. Altogether, the figure reveals that in a substantial share of constituencies in India between 1986 and 2007, there were weak linkages between parties and candidates, and voters often faced little continuity in party-candidate alliances across elections.

Figure 2 shows incumbent rerunning patterns for the first and last elections in our data set.¹⁷ These maps show that weak party-candidate linkages are relatively common across the

country, although there are differences between and within the Indian states.¹⁸

To measure the state of the local economy, we use Lagged Rainfall Deviation: the absolute value of the standard deviation from good rainfall in a district in the year before an election.¹⁹ The measure runs from 0 to about 4.5, where 0 signifies optimal rainfall, and higher values indicate more or less than optimal rainfall.

One concern with our rainfall measure is that voters may be aware that politicians have little control over weather patterns. Relatedly, any support for incumbents for an exogenous event like rainfall might be viewed as voter irrationality. However, research has shown that voters tend to reward/punish politicians for events beyond their control, likely because voters use the economy as an informational shortcut to evaluate their general well-being under an incumbent (see Achen and Bartels 2004; Fiorina 1978; Leigh 2009; Wolfers 2002). Additionally, voters in a largely rural economy like India might consider

17. The map shape files we used are from 2001, so the maps include state boundaries for Uttarakhand, Jharkhand, and Chhattisgarh. The constituency boundaries for Uttarakhand changed in 2001, so this state is excluded from our data set, while the constituencies in the other two states remained unchanged and are therefore included in the data.

18. See also fig. B.1 (figs. B.1, C.1, and C.2 are available online) for a breakdown of rerunning patterns for incumbents in 1986–2007 across states.

19. This measure is taken from Cole et al. (2012). We agree with Sarsons (2015), who notes that rainfall could have differential effects on the economy depending on local irrigation patterns. We therefore use rainfall deviation as a *proxy* for local economic conditions rather than as an instrument. In the sections that follow, we test whether our results are robust to various agricultural and nonagricultural contexts. See app. A for further information about how this variable was coded.

politicians' and parties' responsiveness to alleviate distress after bad rainfall as a mark of competence (Cole, Healy, and Werker 2012; Healy et al. 2010).

We use the rainfall measure as a proxy for economic changes at the local level. A substantial proportion of India's population works in the agricultural sector.²⁰ And, as Cole et al. (2012) show, poor rainfall has a strong negative effect on agricultural output. A fall in agricultural output can potentially influence the economy through its impact on food prices.²¹ Additionally, bad rainfall reduces aggregate demand in the economy, which depresses wages for agricultural labor (see Jayachandran 2006). Rainfall can therefore be used as an indicator for local-level fluctuations in both urban and rural contexts, with likely stronger effects in areas with a higher share of agricultural workers.²²

Given economic voting, we should see a negative association between rainfall deviation and support for the incumbent party. Our claim is that we are more likely to observe this association if the incumbent politician reruns for the same party. If the incumbent politician does not rerun we should expect an attenuated negative association, and if the politician reruns for another party the economic voting pattern should be even weaker or maybe even reversed if the blame for the bad economy falls on the politician rather than the party.²³

Our main outcome variable of interest is the vote share for the incumbent party in each constituency. This ranges from 0% to 98%, with an average of 31% of the vote and a median of 35.5%. India is a multilevel polity, where voters may punish or reward incumbents at multiple levels: the party in power in the federal government (prime minister's cabinet) or the state government (chief minister's cabinet), the party of their member of parliament (MP), or the party of their member of the state legislative assembly (MLA). We focus on MLAs because recent research has shown that voters are the most familiar with their elected MLA, most likely to make contact with these officials, and likely to associate their economic prospects with state-level outcomes (Bussell 2019; Kruks-Wisner 2018). It is still possible that voters punish

politicians at other levels too, and we investigate these alternate channels later in the article (see discussion below and table C.2).

The models we present also include important controls. First, we include the vote share for the incumbent party in the previous election (when it won the election), because the vote share needed to win a constituency is probably similar across elections and shaped by local dynamics. Second, we include the number of electors in the constituency—an approximation of the population size in the constituency. This has been shown to be associated with how politicians choose to split their time between legislative work and constituency service (Jensenius and Suryanarayan 2015). We also include the turnout and margin of victory in the previous election—indicators of how competitive elections were in a particular constituency—and indicators for whether the constituency was reserved for Scheduled Caste/Tribe representatives. These variables are further described in appendix A, and summary statistics are provided in table A.2.

MAIN RESULTS

We estimate linear multilevel models (MLM) where we let intercepts vary by state, year, and state AC. This modeling specification takes into account the nested nature of the data.²⁴ Table 1 shows the output from MLM of the vote share of the incumbent party regressed on incumbent politicians' rerunning patterns and lagged rainfall deviation.

In model 1, Lagged Rainfall Deviation is the only explanatory variable along with state, year, and AC intercepts. If voters punish the incumbent party for bad rainfall (economic voting), this should be reflected in a negative coefficient. However, consistent with previous scholarship, we find no evidence of economic voting in this model.

In model 2, we include the categorical measure for party-candidate linkages. The incumbent politician running for reelection for the incumbent party is the excluded category.²⁵ The incumbent politician not running for reelection is associated with a 9.4 percentage point drop in vote share for the incumbent party, and the incumbent politician running for another party within the same constituency is associated with a drop of 25.8 percentage points. This association shows that

20. Around 42% in 2019, according to the International Labour Organization's ILOSTAT database.

21. It is possible that food prices can be manipulated in the lead up to an election to avoid an electoral backlash. However, Dar, Gupta, and Verma (2019) find that, apart from onion prices, there is no evidence of electoral business cycles in the retail prices for 15 major food items in India.

22. The economic voting patterns we report in the next section are indeed stronger in areas with a higher share of agricultural laborers, as shown in table C.5 (tables A.1, A.2, and C.1–C.8 are available online).

23. It is possible that a party may actually benefit from a bad economy when voters blame the incumbent politician, which might be viewed as evidence of economic voting of a different form. However, this still has the effect of weakening the link between the economy and a party's electoral fortunes.

24. Time series cross-section data sets have generated much debate in the political science field. MLM have become popular, as they perform better than ordinary least squares (OLS) and fixed effects models in Monte Carlo simulations (Shor et al. 2007). We also ran fixed effects OLS models as a robustness check, which are presented in table C.1.

25. In the 13% of cases in which the incumbent party did not run for reelection, the vote share is set to 0. In app. C we show the same models with these observations excluded.

Table 1. Vote Share for the Incumbent Party Given Party System Institutionalization and the State of the Economy, India 1986–2007

	Model 1	Model 2	Model 3	Model 4
Lagged rainfall deviation	.1 (.2)	.0 (.2)	–.5* (.2)	–.7** (.2)
Incumbent did not rerun		–9.4*** (.3)	–10.5*** (.6)	–10.3*** (.6)
Incumbent switched party		–25.8*** (.4)	–27.9*** (.7)	–27.9*** (.7)
Rainfall × did not rerun			.9* (.4)	.9* (.4)
Rainfall × switched party			1.8*** (.5)	2.1*** (.5)
Constant	29.8*** (2.1)	37.3*** (1.7)	37.9*** (1.7)	38.0*** (1.5)
Control variables	No	No	No	Yes
N AC years	14,322	14,322	14,322	14,319

Note. Linear multilevel regression models, where constituency-year observations are nested in states, constituencies, and years. Standard errors in parentheses. The few incumbent parties that did not run for reelection are included and assigned 0% of the vote. Control variables included in model 4 are vote share for the incumbent party in the previous election, the number of electors in the constituency in the same election, the electoral turnout and margin of victory in the previous election, and the reservation status of the assembly constituency (AC).

* $p < .05$.

** $p < .01$.

*** $p < .001$.

the incumbent party suffers at the polls when it fields a new candidate, particularly so when the incumbent politician runs against it under a new party label. These are substantively large effects given that the average vote share in our data for an incumbent candidate rerunning for the same party is 39%. The patterns also indicate the importance of the “personal vote” of politicians in Indian elections and that voters’ loyalties may be split when parties and candidates run against each other. The rainfall variable continues to be insignificant in this model.

Next, we test our argument that economic voting, measured with Lagged Rainfall Deviation, is moderated by the rerunning patterns of the incumbent politician. Model 3 interacts the rerunning variable and lagged rainfall variables, and model 4 includes constituency-level controls. Since the excluded category of the rerunning variable is that the incumbent politician reruns for the same party, the lagged rainfall deviation coefficient can be interpreted as the effect of bad rainfall in places with strong party-candidate linkages. As expected, the coefficient for lagged rainfall is negative and statistically significant in these models. This result indicates that when the incumbent politician reran for the incumbent

party, voters responded negatively to bad rainfall—evidence of economic voting.²⁶

The Lagged Rainfall Deviation coefficient provides us with an estimate of economic voting in places where the incumbent politician reruns for the same party. Additionally, there is a positive and statistically significant interaction between the incumbent politician not rerunning and Lagged Rainfall Deviation. This coefficient is similar in size to the main rainfall coefficient, indicating that the economic voting pattern disappears when the party fields a new candidate. There is an even larger and statistically significant positive interaction term between Lagged Rainfall Deviation and the incumbent politician switching to another party, indicating that voters punish the candidate rather than the party for poor rainfall.

26. The coefficient of -0.7 in model 4 indicates that a standard deviation shift from good rainfall in a district in the year before an election is associated with the incumbent party losing about 0.7 percentage points of the votes. Since about 4% of the elections included in our data had a winning margin of less than 0.7%, this could have shifted the outcome in many elections. Also, given that Lagged Rainfall Deviation only captures one aspect of the state of the economy—and is likely a noisy measure—this pattern suggests that economic voting plays an important role in Indian elections.

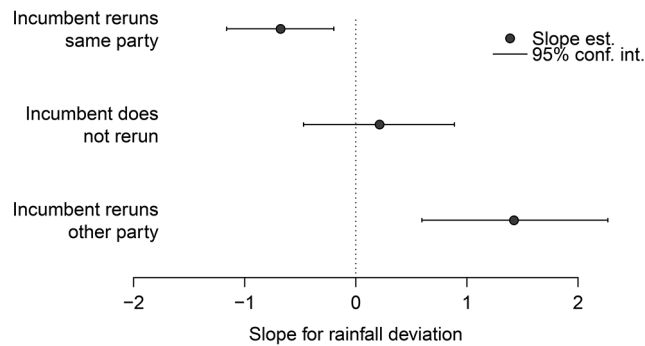


Figure 3. Vote share for the incumbent party given bad rainfall, 1986–2007.

The interaction effect of rainfall and rerunning is illustrated in figure 3. Here we see the predicted slope for Lagged Rainfall Deviation from model 4 in table 1, for three scenarios: the incumbent politician rerunning for the same party, not rerunning, or switching to another party.²⁷ The top dot illustrates the coefficient of -0.7 —the expected loss in vote share with a standard deviation change in rainfall in constituencies where the incumbent politician reran for the same party. This is evidence of economic voting. The middle dot illustrates the absence of an effect of bad rainfall where the incumbent politician did not rerun. And finally, the bottom dot shows that bad rainfall was associated with a higher vote share for the incumbent party when the incumbent politician reran for another party.

As noted above, it is possible that voters in India make their vote choice on the perception of the performance of a party at various levels of government. We examine whether our main results were driven by the incumbent politicians' alignment with the chief minister in their state or with the prime minister. Our main result holds across these four subsamples, although the punishment for bad rainfall is somewhat stronger in constituencies that are not aligned with the chief minister (see table C.2).²⁸

In figures 1 and 2, we observed a decreasing level of party switching over time, suggesting that there might be a time trend in our data. Our claim that stable rerunning patterns are symptomatic of local-level party system institutionalization is consistent with a decreasing level of switching over time be-

cause the age of a party system is likely to be associated with greater party system institutionalization. To explore this, we include a variable called Election Number—the number of elections held in a state since the 1970s delimitation—since each election presents an opportunity for voters to learn about local political dynamics and for parties and candidates to learn from their prior electoral strategies. Election Number is indeed a strong predictor of the vote share for the incumbent party, suggesting that incumbency effects increased as more elections were held in a state. However, there is no significant interaction between the election number and rainfall deviation (see table C.3), and the inclusion of election number as a control does not change our main results.²⁹ The decline in switching might also be a function of the decline in the Congress Party in this period. We investigate whether there is a Congress effect by dividing the constituency elections in the data into whether or not Congress won the previous election (was the incumbent). Our main results hold across both types of constituencies (see table C.4).

It is also possible that our results are driven by constituencies that are particularly rainfall dependent. As noted in the previous section, rainfall should affect the economy in areas with a high share of wage workers, since it shapes the demand for agricultural labor. We divide the data into places with more and fewer agricultural laborers and find that the effect of rainfall on voting patterns is indeed higher in constituencies with a higher share of agricultural laborers (see table C.5).³⁰ Importantly, our results hold in constituencies where alternative types of industry dominate, such as mining, manufacturing, and construction, among others (see table C.6).

Alternative measures of party system institutionalization

It is possible that the actions of parties and candidates in response to a weak economy shape their decisions to maintain stable linkages across election years—this implies that there may be reverse causality in the patterns we observe. Our argument emphasizes the institutional and structural underpinnings of party system institutionalization, rather than the strategic intent of parties and candidates, as the central factors shaping rerunning patterns. Theoretically, while parties and candidates may always be tempted to change alliances when the economy is doing badly, they are more likely to do so when

27. The estimates and confidence intervals are based on 10,000 simulated values generated using the variance-covariance matrix of model 4. The intercept and the relevant rerunning variable were set to 1, the reservation status of the AC was set to a general category, and the remaining variables were set to their mean.

28. This finding is consistent with Cole et al. (2012), who show that voters do not punish incumbents as severely when the government is more responsive. The alignment of an MLA to the chief minister's party likely makes the MLA better able to respond to poor rainfall.

29. Additionally, in table C.3 we include a time trend variable, Year, and find that the variable is not significantly associated with vote share for the incumbent on its own or as a control variable in our main model.

30. We impute the share of agricultural laborers in each of our constituencies in 1986 using constituency-level estimates of census variables from 1971 and 2001 developed by Bhavnani and Jensenius (2015).

Table 2. Vote Share for the Incumbent Party Given Party System Institutionalization and the State of the Economy: Alternative Measures of Party System Institutionalization

	Model 1	Model 2	Model 3
Lagged rainfall deviation	-.6** (.2)	-.4 (.3)	-1.0** (.4)
Electoral switching	-35.9*** (1.1)		
Rainfall × electoral switching	3.9*** (.8)		
Electoral switching lagged		-4.1*** (1.2)	
Rainfall × electoral switching lagged		2.4** (.8)	
Weak party organization			-14.6*** (.7)
Rainfall × weak organization			1.4** (.4)
Constant	35.9*** (1.6)	31.1*** (1.9)	41.5*** (1.9)
Control variables	Yes	Yes	Yes
N AC years	14,319	14,317	14,319

Note. Linear multilevel regression models, where constituency-year observations are nested in states, constituencies, and years. Standard errors in parentheses. Control variables are vote share for the incumbent party in the previous election, the number of electors in the constituency in the same election, the electoral turnout and margin of victory in the previous election, and the reservation status of the assembly constituency (AC).

* $p < .05$.

** $p < .01$.

*** $p < .001$.

weakly organized parties incentivize this type of short-term thinking.

Table 2 shows output from models where we have replaced the measure of the rerunning patterns of incumbents with three alternative measures of party-candidate linkages that are unlikely to have been shaped by the economy in the year before the election. First, we use a weighted average of the number of candidates (among the top five) who switched parties in the election (Electoral Switching).³¹ The intuition behind this measure is that the organization of parties beyond the incumbent party matters, as routinized parties are unlikely to accept the lateral entry of a candidate from another party (see Chhibber et al. 2014). Although theoretically interesting, this measure is still subject to an endogeneity concern similar to our main measure's, as it includes data on the incumbent. We therefore

use a lagged version of the same measure (Electoral Switching Lagged), which cannot be influenced by short-term strategic decisions made by the incumbent party in response to the economy. Finally, we use a qualitatively coded measure of the organizational capacity of the party in power in the AC in the previous election (Weak Party Organization).³²

The intuition behind each of these measures is that they are less endogenous to short-term fluctuations in the economy. The last two measures should in fact not be affected by the strategic decisions of politicians to rerun or not in response to the state of the economy. All three alternative measures of party system institutionalization show the same pattern of economic voting as we saw in our main models. The hardest test is provided in model 3, where we use a measure of the organizational capacity of the incumbent party based on state-level

31. The candidates are weighted by their vote share in the previous election. See app. A for further details.

32. This is based on the state-level coding of parties by Chhibber et al. (2014). See app. A for further details.

Table 3. Predictors of Incumbent Politicians Rerunning under a Different Party Label

	Model 1	Model 2	Model 3
Lagged rainfall deviation	-.006 (.006)	-.004 (.006)	-.006 (.006)
Weak party organization		.279*** (.010)	.278*** (.010)
Constant	.256*** (.036)	.037 (.036)	.034 (.034)
Control variables	No	No	Yes
N AC years	10,459	10,459	10,458

Note. Linear multilevel regression models, where constituency-year observations are nested in states, constituencies, and years. Standard errors in parentheses. Control variables included in model 3 are vote share for the incumbent party in the previous election, the number of electors in the constituency in the same election, the electoral turnout and margin of victory in the previous election, and the reservation status of the assembly constituency (AC).

* $p < .05$.

** $p < .01$.

*** $p < .001$.

coding of qualitative data sources. The coefficients for Lagged Rainfall Deviation given Electoral Switching and Weak Party Organization are illustrated in figure C.1.³³

Finally, in table 3 we directly address endogeneity concerns in our data by showing that our main indicator of economic voting, Lagged Rainfall Deviation, is not a statistically significant predictor of the incumbent politician rerunning under a different party label. The coefficients for Lagged Rainfall Deviation are very small and even run in the opposite direction of what we should expect if bad rainfall encourages party switching. Our alternative measure, Weak Party Organization, is, however, a strong predictor of the incumbent politician switching parties. This further increases our confidence that we are indeed measuring the effects of weakly institutionalized party systems rather than short-term opportunistic behavior.

Alternative measures of economic performance

Our measure of economic performance, while attractive because it is fairly exogenous to local political dynamics, raises a different question for our analyses: To what extent do voters blame or reward politicians for rainfall, which they might understand to be out of the politicians' control? In table 4 we

provide two alternative measures of the state of the economy: the nighttime light in the election year (data available 1995–2007) and the change between 1998 and 2005 in the share of the population holding government jobs (used with election data 2004–7).³⁴ Here we should expect more light and more jobs to be associated with more support for the incumbent party when the incumbent politician reruns for the same party. This positive association should be attenuated when the party runs a new candidate and more attenuated or even negatively associated with incumbent party vote share when the incumbent politician runs against the party.³⁵

This is exactly what we find. In models 1 and 2 we see that the vote share for the incumbent party was higher in places with more nighttime light in the election year where the incumbent politician reran for the same party. There is also a statistically significant interaction term between nighttime light and the rerunning patterns of the incumbent, with attenuated economic voting patterns if the incumbent did not rerun and almost no economic voting in areas where the incumbent politician switched parties. In models 3 and 4 we see similar patterns in places with an increase in government jobs. The coefficients for the economy doing well from models 2 and 4 are illustrated in figure C.2.

Economic voting using individual-level survey data

In the previous section we showed evidence of economic voting using data at the electoral constituency level. One difficulty confronting us is that while the theory we offer is about individual-level political choices that voters make in weakly institutionalized party systems, our constituency-level analysis used constituency-level variation in party rerunning patterns, macroeconomic conditions, and the aggregate vote share for the incumbent. In order to address ecological fallacy concerns associated with our analysis, as well as to devise a more direct test of how party system institutionalization and economic evaluation shape voter calculations, we use data from the 2004 NES, conducted in the aftermath of the parliamentary elections of 2004. The NES has data on a random sample of 27,189 electors from across the Indian states. The outcome

34. These variables are based on the replication files of Asher and Novosad (2017). See app. A for further details.

35. There are two advantages to these measures. First, unlike rainfall, they vary by AC and not the larger district, allowing for explanatory variables that perfectly match the geographic territory of the dependent variable. Second, Asher and Novosad (2017) show that local politicians in competitive constituencies manage to secure more resources toward jobs and nighttime light when they are aligned with the party in power. For these reasons, we believe these measures are effective proxies for local-level economic changes that politicians do have some control over.

33. In table C.7 we run our main models by splitting the data by states with above- and below-median levels of incumbents switching to another party and into constituencies with above- and below-median levels of Electoral Switching. We find that states and constituencies with lower levels of switching had more robust patterns of economic voting.

Table 4. Vote Share for the Incumbent Party Given Party System Institutionalization and the State of the Economy: Alternative Measures of the State of the Economy

	Nighttime Light		Change in Government Jobs	
	Model 1	Model 2	Model 3	Model 4
Economy doing well	1.8*** (.3)	1.6*** (.3)	1.9 (1.0)	1.3 (.9)
Incumbent did not rerun	-5.5*** (.9)	-4.5*** (.8)	-7.2*** (.7)	-7.1*** (.7)
Incumbent switched party	-23.3*** (1.1)	-21.7*** (1.1)	-24.3*** (.8)	-23.1*** (.8)
Economy × did not rerun	-.2 (.4)	-.4 (.4)	-5.5* (2.4)	-5.3* (2.2)
Economy × switched party	-1.2* (.6)	-1.3* (.6)	-2.7* (1.2)	-2.4* (1.1)
Constant	36.1*** (2.6)	36.3*** (2.0)	39.4*** (2.4)	40.0*** (2.5)
Control variables	No	Yes	No	Yes
N AC years	7,508	7,506	2,876	2,876

Note. Linear multilevel regression models, where constituency-year observations are nested in states, constituencies, and years in models 1 and 2 and in states and years in model 3 and 4. Standard errors in parentheses. The few incumbent parties that did not run for reelection are included and assigned 0% of the vote. Control variables are vote share for the incumbent party in the previous election, the number of electors in the constituency in the same election, the electoral turnout and margin of victory in the previous election, and the reservation status of the assembly constituency (AC). The nighttime light is the log of the sum of annual nighttime light in a constituency the year of the election. The government jobs variable has been rescaled by centering it and dividing by 2 standard deviations.

* $p < .05$.

** $p < .01$.

*** $p < .001$.

of interest is whether individuals voted for the incumbent party in their parliamentary constituency (PC).

The main explanatory variables are the rerunning patterns of incumbent politicians, coded at the PC level, and measures of the state of the economy.³⁶ The survey asked questions about respondents' perceptions of the economy. One question explicitly asked respondents about their personal economy, providing a measure of egotropic economic voting.³⁷ Another question asked respondents about the economy in the country as a whole, providing a measure of sociotropic economic voting. To avoid postjustification bias that may be associated with such subjective measures, we additionally use Lagged Rainfall Deviation as an exogenous proxy for the state of the local economy.

Table 5 shows the output from MLM examining the association between incumbent politicians' rerunning patterns and voters' propensity to vote for the incumbent party in their PC. Individuals are nested in PCs. At the PC level, the majority (238, or 66%) of incumbent politicians reran for the same party, 22 (6%) ran for another party, and 101 (28%) did not rerun. When we nest individuals in PCs we consequently have little power for the category of incumbents running for another party. In these models we have therefore collapsed Incumbent Rerunning for Another Party and Incumbent Does Not Rerun into a single category: Other Party/Not Rerunning. This change gives us a bit more power for the estimates but does not substantially change the size or direction of the coefficients (see table C.8).

In model 1 in table 5, we show the association between the state of the economy and voters' propensity to vote for the incumbent party in the PC. The state of the economy is measured as 1 if respondents said that their personal economy had "worsened" over the past five years and 0 otherwise. If

36. See app. sec. A.2 for further information about the data.

37. "During the past five years, has your financial situation improved, worsened, or has it remained the same?"

Table 5. Propensity to Vote for the Incumbent Party in the PC, NES 2004

	Personal Economy		National Economy		Rainfall Deviation	
	Model 1	Model 2	Model 3	Model 4	Model 5	Model 6
Economy doing badly	-.26*** (.05)	-.36*** (.07)	-.33*** (.04)	-.31*** (.05)	.04 (.05)	-.11 ⁺ (.07)
Other/not rerunning		-.24* (.11)		-.32* (.13)		-.51** (.18)
Economy × other/not rerunning		.20 ⁺ (.11)		.17 ⁺ (.09)		.24* (.11)
Constant	-.65*** (.05)	-1.54*** (.08)	-.46*** (.06)	-1.40*** (.09)	-.75*** (.08)	-1.45*** (.12)
Control variables	Yes	Yes	Yes	Yes	Yes	Yes

Note. Multilevel logit models. The individual-level data are nested in parliamentary constituencies (PCs). Standard errors in parentheses. Control variables are vote for the incumbent in the previous election, woman/man, Muslim/Scheduled Caste/Scheduled Tribe/other, and urban/rural. *N* respondents = 17,640; *N* PCs = 361.

⁺ $p < .1$.

* $p < .05$.

** $p < .01$.

*** $p < .001$.

voters voted on the basis of the economy, we should expect a negative coefficient, which we do in fact see in the model.

In model 2, we include an indicator for whether the incumbent politician reran for the same party, an interaction term between the perception of the economy and the rerunning patterns of the incumbent politician, and also other individual-level controls: indicators for whether the person voted for the incumbent party in the previous election, whether the voter was a man or a woman, the community of the person (Muslim/Scheduled Caste/Scheduled Tribe/other), and whether the person lived in a rural or urban area. Given our theoretical discussion, we should expect to observe a clearer pattern of economic voting (a bigger negative coefficient) in PCs where the incumbent politician ran for reelection for the same party, and we should expect the interaction term to be positive because the tendency to punish the incumbent party is attenuated if it runs a new candidate. These are exactly the patterns we see in model 2, with a negative and significant association between the perception of the economy and voting for the incumbent party in places where the incumbent politician reran, and a positive interaction—indicating a weaker pattern of economic voting—where the incumbent did not rerun or reran for another party. The interaction term is significant at the 10% level and is robust to excluding “don’t know” responses from the data.

In models 3 and 4 we run the same models but with the view of the national economy as an indicator of the state of the economy. Here, we coded the economy as doing well if

voters said that “prosperity has come” and worse otherwise. The pattern is very similar, although in this case the interaction term is not robust to excluding “don’t know” responses from the data.

Finally, in models 5 and 6 we look at the pattern for Lagged Rainfall Deviation. Here, too, the coefficients move in the directions we should expect. In the model without an interaction term, the rainfall deviation variable is positive and insignificant at conventional levels. Once we include the interaction with rerunning patterns, the coefficient flips and grows larger, and it is significant at the 10% level. As expected, we also see a strong, positive, and statistically significant interaction between rainfall deviation and rerunning patterns. Across all three of these indicators of the economy, the individual-level patterns are consistent with what we observe in the AC-level data.

CONCLUSION

Economic voting is a well-established phenomenon in advanced industrial democracies. In democracies in the developing world, however, the link between economic outcomes and the vote is not as clear-cut. In this article we have argued that party system institutionalization, and in particular the extent to which parties and candidates maintain stable electoral alliances from one election to the next, is key to understanding voting patterns. Whereas stable party-candidate linkages are assumed in much of the literature on elections and voting, studies from across the world document weak linkages. In some countries, parties regularly split, merge, or change

their names. In others, legislative floor crossing is rampant. And in still others, such as in the Indian states, parties change their candidates from election to election, and incumbent politicians often end up running against the incumbent party. From a voter's perspective, this results in confusing electoral options, making it unclear whom to reward or punish for economic performance in office.

Using constituency-level data from the Indian states, individual-level data from the NES of 2004, and data on rainfall, nighttime light, and government jobs, we show that where incumbent politicians reran for the same party there is evidence of economic voting. Importantly, our findings are robust to alternative measures of party system institutionalization at the local level, which seek to alleviate concerns about the endogeneity of candidate selection to economic performance.

Our findings have several implications for studies of voting behavior and of democratic accountability. Our work contributes to a growing literature that shows how performance in office may be obscured by contextual factors. This shapes democratic accountability: when parties routinely change candidates for reasons unrelated to performance in office (such as wealth and muscle power) or if candidates switch parties from election to election—as happens in much of the world—voters will be unable to use elections to hold candidates and parties accountable for performance in office. Recent experimental studies have shown that providing voters with information about politicians' honesty or effort is not associated with voters internalizing that information in politically consequential ways (Dunning et al. 2019). Our findings suggest that robust party-candidate linkages might be an important channel through which voters become informed about politicians and are able to meaningfully use that information on election day.

India is often cited as an example of volatile voting patterns and anti-incumbency voting. Our results suggest that these patterns are a function of weakly institutionalized party systems. Although Indian voters are sometimes stereotyped as voting their identity more than their interests, our findings demonstrate that given stable electoral alternatives and clear party-candidate linkages, voters in India do make their vote choice on the basis of the performance of the incumbent party.

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